

Unit Student Learning Outcomes (SLOs)

- Define the terms 'scarcity', 'choice', 'opportunity cost', 'trade-offs'.
- Explain how the conflict between limited means and unlimited wants leads to the need to make decisions.
- Describe how different values influence the choices people and groups make (e.g. saving, getting a job etc).
- Explain how all economic decisions have an opportunity cost.
- Recognize that choices and opportunity costs are subjective, i.e they differ across individuals and societies.
- Explain ways in which cultural background influences decision making.
- Describe the present and future consequences of the choices people and groups make (eg. drop out of school).
- Compare decisions to a common problem, such as where to go on a class trip, and explain why solutions and opportunity costs differ among students.
- Identify some choices made and explain reasons for having to make the choices.
- Describe a situation that requires a choice to be made, make a decision and identify the opportunity cost (what you give up) and the benefits (e.g. buying a pet or a video game, going to a movie, eating a certain food, etc).
- Describe trade-offs and create a graph to represent alternatives and trade-offs.

Introduction to the Unit

This unit consists of three chapters which deal with economic concepts including scarcity, choice, opportunity cost and trade-offs. An understanding of these concepts is essential for making right decisions about what to buy, how much to spend and how much to save. As adults, we are confronted with economic issues which affect our daily life. Thus, we need to learn basic economics which can help us to choose wisely and to manage our financial matters in an effective manner.

CHAPTER 1: WHY DO WE CHOOSE

SLOs

- Define the terms 'scarcity' and 'choice'.
- Explain how the conflict between limited means and unlimited wants leads to the need to make decisions.
- Describe how different values influence the choices people and groups make (e.g. saving, getting a job).
- Explain ways in which cultural background influences decision making.
- Identify some choices made and explain reasons for having to make the choices.

Introduction

In this chapter, you will study the need to choose, needs and wants and factors that affect the choices we make.

The Need to Choose

We all face many choices every day. What to wear, what to eat, where to go, what to buy with the money we have, how to spend our time, whether to study or to play after school, what game to play and with whom, and so on. We make choices because we cannot have (or do) everything we want. An economic **choice** is a decision as to where to spend our limited money (or time, skills, etc).

Needs and Wants

'Needs' are the requirements which are necessary for survival such as the need for air, water, food, clothing, shelter and sleep.

'Wants' are the desires that are not essential for survival, but they make life just a little more enjoyable, such as wanting to drink Pepsi or wear joggers of good quality. Needs and wants can be satisfied by consuming a good, service or leisure activity.

'**Goods**' are the things or objects which we can feel and touch, like apples, toys and books. They are also called commodities or products.

Things that cannot be touched are called '**Services**'. A 'service' is some work done for us that we pay for. For example, we buy haircuts, repairs and travel services and services for domestic help.

Resources

Such as money, time and skills are scarce or limited. Therefore, people cannot have all the goods and services they want; as a result, they must choose some things and give up others.

When, there are unlimited wants and only limited resources, the result is the fundamental problem of scarcity.

A '**Leisure Activity**' is the activity people do in their free time for relaxation or enjoyment. For example, playing cricket, watching television, going for a walk or reading a book.

Scarcity

It is the condition of not being able to have all the goods and services that we want. This situation arises when wants or want for goods and services exceed the quantity of goods and services that can be produced using all available resources. For example, Kinza must choose how to use her scarce time: should she watch television, do her math or play with her cat? Scarcity is experienced by individuals.

Factors that Affect the Choices We Make

The factors we keep in mind while making choices or decisions are based on income, cost, wants and values.

Income is the money received, on a regular basis for work. For example, the money a person who works at a factory gets paid at the end of each month is income.

Cost is an amount that has to be paid to get or buy a good or a service. For example, a bag of chips costs Rs. 20 and a haircut costs Rs. 50.

Wants are goods or services that we desire or wish for. For example, a doll, a video game, a book, or a day out at the *mela* (fair).

Values are what we think is important in our lives. Different people have different values and goals. For example, Zafar works at a shop near his home after school to earn some extra money. He has been saving this money to buy a bicycle. Saving is a value for him. Kashif on the other hand, spends his time after school in playing cricket with his friends. He values physical activity, fun and enjoyment. Mariam gives half her sandwich to a poor man on the street. Sharing and taking care of the less fortunate are her values.

Like individuals, different groups of people also have different attitudes to money and material things. Their attitudes or values affect

how they choose to spend and save. Different groups of people will make different choices in a given situation. For example, land developers want to cut down forests to build more houses and roads, whereas, environmentalists will do all they can to save trees from being cut down to build houses or widen a road. Rich people often spend their money to buy big houses, luxury cars and travel abroad. On the other hand, people who belong to the middle class save their money for their children's education or to buy a house. In most religious groups, members are required to give a certain percentage of their income to the poor as Zakat for Muslims.

So, before we make a choice or decision of what to do with our money, we need to ask ourselves the following questions:

- a. How much money do I have/earn? Can I afford it?
- b. What is the cost?
- c. How badly do I want it? Do I want it **now** or can I wait for some time?
- d. Is the choice in accordance with my values (what I think is important in my life)?

Activity:

- Identify three choices you have made based on the money or time you had in the past week. Explain why you had to make them. Share your answer with your class fellow.

SUMMARY

Scarcity occurs when people (as individuals and as groups) want for goods and services are unlimited and their resources are limited. Scarcity requires choice. When wants exceed the resources available to satisfy them, people must decide what wants to be fulfilled first. The factors that affect the choices or decisions we make are income, cost, want and values. Different people will have different values and goals. Different cultures also have different attitudes to money and material things. So, people from different backgrounds will make different choices in a given situation.

END OF CHAPTER EXERCISE

A. Check Your Knowledge and Understanding

1. Fill in the Blanks

- Our wants are _____ but our resources are _____.
- People cannot have all the goods and services they want so they must make _____.
- The choices people make are based on _____, _____, _____, and _____.

2. Make a Table A list of wants is given in column A. For each want, identify whether a good, service or leisure activity would satisfy the want. Write your answer besides the want in column B.

Column A: List of wants	Column B: Means of satisfaction
Shoes	
Horse-riding	
Watching a movie	
Eating fish and a portion of chips	
Opening a bank account	

3. Answer the Following Questions

- Define the term 'Scarcity'. Why does the condition of scarcity exist?
- Define the term 'Choice'. Why do we have to make choices?
- Which factors do we keep in mind when making a choice?
- What are values and how do they affect the choices we make?

B. Find Out More

- Ask 10 children what they would buy with Rs. 50 they received as Eidi. Ask them to tell you why they would buy the item. Then, write a small paragraph to say why you think the children bought different things with their Eidi.

C. Cooperate With Others

1. In small groups, role-play the situations of scarcity and choice and then answer the questions.

- There are 10 gifts in the gift section of a shop. Asifa selects two gifts. Asifa says, "I like them both." Her mother says, "You may have one of the two gifts, but not both. You must choose between two gifts."

What is the opportunity cost of this choice for Asifa?

- In a classroom, some children are fighting with each other about whose turn it is to use the blocks kept in the activity area of the class, how long they have been in there, and so on. There are a lot of boys in this class and only four children can use the blocks area at a time. One boy says to the other, "You have been there since one hour." The other boy says, "No, I have not, I just came." The teacher tries to referee the arguments.

What is the reason for these arguments among these children?

- (Set-up a table with pencils. There should be only enough pencils for half the students in the group). Give each student Rs.10. Each person has the opportunity to buy one pencil. One pencil costs Rs.10. Students line up to buy one pencil. When all the pencils are gone, there are still some students who didn't get a pencil.

Why some people did not get a pencil?

Teacher's Note: Students should understand that you did not have enough pencils for everyone. You can't always get everything you want. Sometimes, there are not enough resources to meet everyone's wants. Discuss choice and decision making. Tell students: When people can't have an item they want, they must make choices. If you were in a real store and the pencils were sold out, you would have to decide if you want buy something else. If you chose to buy something else, you would have to give something up. You would give up money, as well as the chance to buy the pencil you wanted.

2. It is festival time (Eid, Christmas, Diwali). Three people go to a shop to buy gifts for their children.

- Anil's father wants to buy a toy car for Anil. He enters the store, pays for the toy car and comes out. (He got what he wanted because he shopped early, before the store ran out of things.)
- Shahid's father wanted to buy a bike, but there weren't any more in the shop so he has to buy a skateboard.
- Tariq's father wanted to buy a toy car but could not because he did not have enough money. So he bought a skateboard.

Why could Shahid and Tariq's father not buy what they wanted?

What affected the choices that they made?

Teacher's Note: For the role play, students may be divided into groups and given situations where they have unlimited wants and limited means and therefore have to make choices.

CHAPTER 2: ALTERNATIVES AND TRADE-OFFS

SLOs

- Define the term 'Trade-offs', 'Costs', 'Benefits'.
- Understand the concept of trade-offs and how it will help you make better decisions about your time and money.
- Describe the present and future consequences of the choices people and groups make (eg. drop out of school).
- Identify some choices made and explain reasons for having to make the choices.
- Describe trade-offs and create a graph to represent alternatives and trade-offs.
- Interpret the production possibility frontier graph of trade-off and opportunity cost.

Introduction

This chapter deals with the study of term trade-off. It analyses the factors that affect the process of our decision-making. Also, it focuses on choices/ decisions and analyzing options before making decisions.

Term Trade-off

According to Oxford Advanced Learner's dictionary the term trade-off means the act of balancing two things that are opposed to each other. It also means that something bad that you have to accept, or something of value that you have to lose, in order to have something good.

A Choice Is a Trade-off

As we have learnt earlier, because we face scarcity, we must make choices. When we make a choice, we select from the available alternatives or options. For example, Aslam can spend Sunday evening studying for the Social Studies test on Monday or having fun with his friends, but he cannot do both of these activities at the same time. Whatever choice he made, he could have chosen something else.

A **trade-off** is an exchange – giving up one thing to get something else. When Aslam chooses how to spend his Sunday evening, he faced a trade-off between studying and spending time with his friends.

Trade-offs is important to understand when making good decisions about time, money and energy. We all make trade-offs every day, whether we realize it or not. Since our resources such as time and money are

limited, therefore we must choose how to best allocate them by making some trade-offs.

Making Choices/ Decisions

People i-e individuals and groups have to make different types of decisions. Below are some of the kinds of decisions people have to make:

- A person may decide, for example, to leave a salaried job to set up his/her own business.
- If a family has surplus income, they will choose between how much to spend or save. What they spend it on, what they save for, and how they share their money will depend on many factors, such as their wants, tastes and preferences and their values. Different people will choose different combinations of spending and saving.

$$Y = C + S$$

[Income = Consumption + Saving]

$$100 = 80 + 20$$

- Producers have to choose what and how much to produce with their limited resources.
- Governments also choose/decide how to distribute resources. For example, they decide who and what will be taxed and by how much. Similarly, governments must decide how to use the limited tax money for a large number of different project options. For example, they may decide to spend less on prisons so that they can spend more on police or less on roads so that they can spend more on hospitals.
- School officials must decide to use limited money for buying more books for the library or new computers for the school. They may choose an option where they would buy some books as well as some computers.

Analyzing Options Before Making Decisions

In all these decisions, people and organizations use personal and group values to come up with the **best** choice. Since these values often differ widely, decision-making often becomes difficult.

Few choices are **all-or-nothing decisions**; they usually involve getting a little more of one thing by giving up a little of something else. Effective decision making requires comparing the extra costs of

alternatives or options available with the extra benefits. **Benefit** is what you gain from something. **Cost** is what you must give up to get something.

To decide the best level of spending (money or time) on a good or service, people must compare the extra or additional benefits with the additional costs of using/consuming a little more or a little less of that good or service. As long as the extra benefit of an activity is greater than the extra cost, people choose to do more of it; when the extra cost is greater than the extra benefit, people do less of it. For example, in deciding the best use of his/her time, a student must weigh the extra costs and benefits of spending another hour studying rather than doing some other activity, such as watching television with friends. Rather than choosing to do one activity and give up the other, she/he may choose to spend **some** time with friends and **some** time studying. What would **you** do in a similar situation and why?

The amount of time given to each activity will depend on many factors and will be different for different people. A student who has an exam may choose to spend only **ten** minutes with friends and **fifty** minutes to study while someone who does not care much about his studies would choose to study for **fifteen** minutes and spend **forty- five** minutes with friends.

Pair or Small Group Activity:

- Plan a small party for the class. You have a budget of Rs. 800. Find out the cost of possible items and make a shopping list that is within your budget.
- Talk about the reasons for your choices and discuss/negotiate with other students which items to include in a single class list.
- Think about and discuss how differing values might result in a different shopping list. For example: "How might our list be different if we:"
 - Wanted to be environmentally friendly?
 - Had less money to spend?
 - Lived in a different country?
 - Only wanted to eat healthy foods?
 - Only wanted to eat things that are in season?
 - Only wanted to buy locally made products?
 - Think it is wrong to eat animal products?

Future Trade-offs

While making choices/decisions, it is important to consider the future possibilities. That is, in addition to what you might be giving up/gaining **today**, what might you be giving up/gaining in the **future** because of your decision? What could be different if you waited? For example a sacrifice that is made today by choosing education over luxuries will generate future benefits such as a good job and a better standard of living.

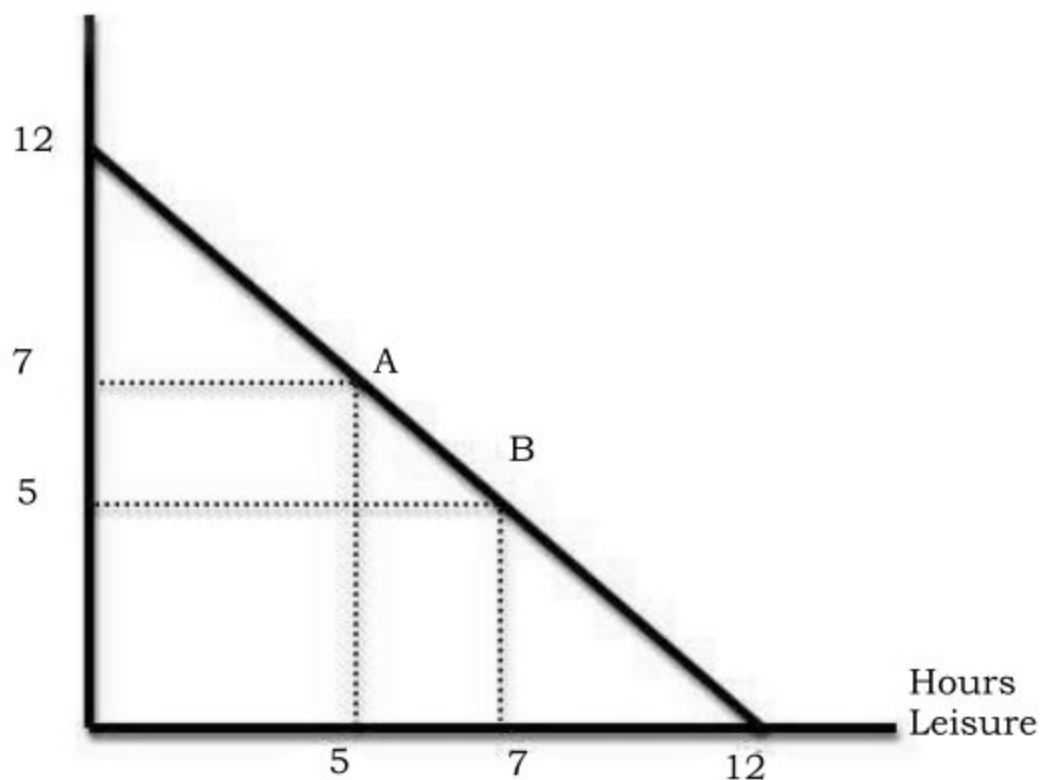
The PPF (Production Possibility Frontier)

The PPF (Production Possibility Frontier) shows the trade-offs that necessarily accompany decision-making in the face of scarcity. For a producer, every choice along the PPF involves a trade-off. Since resources are limited, one must give up something to produce something else.

The graph below shows a tradeoff between hours spent studying and hours spent in leisure.

If you enjoy 2 hours more leisure, the opportunity cost is 2 hours lost for studying.

Hours Study



Graph showing the trade-off of time spent on Study and Leisure

SUMMARY

A choice is a trade-off. People make sensible choices/decisions by comparing benefits and costs. Benefit is what you gain from something. Cost is what you must give up to get something. Few choices are all-or-nothing propositions; most of them are 'how-much' decisions. They usually involve trade-offs i-e getting a little more of one option in exchange for a little less of something else. When making choices, people weigh the cost, that is, what is given up with the benefit, that is, the satisfaction gained. Effective decision making requires comparing the extra costs of alternatives with the extra benefits. People's values differ. The trade-off they make will differ from person to person, organization to organization.

END OF CHAPTER EXERCISE

A. Check Your Knowledge and Understanding

1. Fill in the Blanks

- i. We must make choices because we face _____.
- ii. The process of choosing and best allocating limited time and money is called making a _____.
- iii. A graph that shows the trade-offs that necessarily accompany decision-making in the face of scarcity is called the _____.

2. Read the following situation and make a decision (choosing how to best allocate the resources by making some trade-offs)

1. You have received Rs.1000 for your birthday. List four possible ways to spend the money, noting the price of each alternative. (You may spend all of the money on one thing or you may use some for one thing and some for another. Saving all or part of your money could be an option too!).

Spending Options	Buy clothes / shoes	Buy food or Eat out	Watch a movie	Invite friends for dinner/lunch	Buy a gift for a family member	Save
1						
2						
3						
4						

3. Answer the Following Questions

- Define the terms 'Trade-offs', 'Cost' and 'Benefit'.
- List the factors (other than money) that influence the choices we make?
- Describe the present and future consequences of the following choices:
 - Abid is starting to smoke at the age of eighteen.
 - Zoya is quitting school at the age of eleven.
 - Shahid is dropping out of school and starting to work at a garage at the age of ten.

CHAPTER 3: OPPORTUNITY COST

SLOs

- Explain how all economic decisions have an opportunity cost.
- Recognize that choices and opportunity costs are subjective; i-e they differ across individuals and societies.
- Compare solutions/decisions to a common problem, such as where to go on a class trip, and explain why solutions and opportunity costs differ among students.
- Describe a situation that requires a choice to be made, make a decision and identify the opportunity cost (what you give up) and the benefits (e.g. buying a pet or a video game, going to a movie, eating a certain food etc).

Introduction

We know that a trade-off is an exchange – giving up **part** of one thing to get **more** of something else. This is because our resources such as time and money are limited so we must go through a process of choosing/selecting how to best allocate them. We say we are making some trade-offs.

While trade-off describes the process, i-e what you sacrifice to get something else, Opportunity cost refers to the **thing** or **activity** that was sacrificed/ not selected or given up.

Opportunity Cost

Ahmed has only twenty rupees to spend. He is hungry and thirsty. A glass of *lassi* costs twenty rupees. A box of French fries also costs twenty rupees. Can he buy both? What must he do?

In the above example, if Ahmed chooses to buy a glass of *lassi*, he will be giving up the chance or opportunity of buying a portion of French fries. This will be his 'opportunity cost' for choosing to buy a glass of *lassi*. That is sacrificing one thing for another.

The next best alternative or option that must be given up/ sacrifice when a choice is made is called 'opportunity cost'. Not **all** alternatives, just the **next best** choice.

In another situation, Abdullah has two choices – with the money he has, he can buy either a plate of rice or a bowl of soup. If he chooses the plate of rice, what will be his opportunity cost?



The opportunity cost of a choice is what you gave up to get it

Yes, that's right! his opportunity cost is the bowl of soup that he could have chosen but did not. He gave up the **opportunity** to buy the bowl of soup by choosing to buy the plate of rice.



The **opportunity cost** of an action is the value of the next best alternative that could have been chosen instead. It includes what would have been done with the money spent, the time and other resources used in undertaking the activity. It is the value of the **opportunity** which is lost.

Whenever a choice is made, something is given up. Identifying and comparing alternatives enable us to make more informed decisions and to recognize important results of choices we or others make.

Activity:

- Describe a situation in which you wanted to buy two things but because of a limited amount of money you had to make a choice of what to buy. List the benefits of both choices.
- Decide what you would buy. Identify the opportunity cost.

Producers and Consumers Incur Opportunity Costs



Idea of consumers



Idea of producers

People who use goods and services to satisfy their personal needs and wants are known as **Consumers**. People and firms that use resources to make goods and services are known as **Producers** (People who use the services of labour, rent land, machinery, and entrepreneur).

Both producers and consumers incur opportunity costs when making decisions. For example, a business person who uses a shop to run a books and stationery business cannot use the same shop to produce pizzas. A consumer who uses income for purchasing a shirt cannot use that **same** income for purchasing a pair of pants. Since there are always alternative uses of limited resources, every decision has an **opportunity cost**.

If there is **no** opportunity cost in consuming a good, we call it a **free good**. For example, if you breathe air, it doesn't reduce the amount available to other people – there is no opportunity cost.

It is important to recognize and evaluate opportunity costs when making decisions. As consumers, we should realize that our opportunity cost is **not** the money we spend to buy something, but we sacrifice the next best item. For producers, the opportunity cost is the most valuable good or service that is **not** produced as a result of the decision to produce something else.

The opportunity cost can be related to decisions to **save** or **consume**. Choosing to save means giving up the opportunity to enjoy consumption now in order to enjoy more in the future. On the other hand, choosing to consume means giving up the opportunity for greater *future* consumption.

People i-e individuals and families have to choose and make decisions among goods, services, or resources. Even governments make choices when they are planning the country's budget because their resources are limited.

Because people make choices, all opportunity costs have the following characteristics:

- All costs are costs to someone. Only people bear the costs.
- Costs are subjective. Individuals may value costs differently.
- Opportunity costs occur only after a choice has been made.

Activity:

- Working in a group of four, each member should decide where they would like the class to go on the upcoming study trip and explain why. Together decide on where would be the best and second best place to go. Should the class go to the best place, what would be the opportunity cost?

Some students may believe that they can have all the goods and services they want from their family or from the government because goods provided by family or by governments are free, but this is not so.

Resources also have **alternative** uses, even if parents or governments own them. For example, if a family uses their money to build a house, there may be no money to pay for higher education for the children. The best alternative use of that money; higher education for the children must be given up. Similarly, if a government budgets a sum of money for building highways and roads, less money is available to build schools and hire teachers. The best alternative use of that government money; schools and teachers must be given up.

Like different people, different governments also value costs differently, the choices or decisions they make will be different depending on **their** opportunity cost. One government may value building highways and roads more while another government may attach a higher value to educating all its citizens.

Clearly comparing the value of alternative opportunities that are sacrificed in any choice enables people to weigh the alternatives and make better economic decisions. This analysis also makes people aware of the effects of their actions for themselves and others, and could lead to an increased sense of responsibility and accountability.



SUMMARY

People have to make choices due to limited resources (time and income) and their choices have opportunity costs. When making a choice, there is always one next best alternative that is not chosen. The value or the benefit expected from this next best alternative is the opportunity cost. Both producers and consumers incur opportunity costs. Opportunity costs are different for different people.

END OF CHAPTER EXERCISE

A. Check Your Knowledge and Understanding

1. Fill in the Blanks

- i. _____ is the value of the next best alternative that could have been chosen.
- ii. If there is no opportunity cost in consuming a good, we call it a _____ good.
- iii. People, who use goods and services to satisfy their personal needs and wants are known as _____.
- iv. People and firms that use resources to make goods and services are known as _____.

2. Make a Table like the one given below. Read the situations and fill in the table.

Situations:

- Waqas buys a new computer for his office and not a new fax machine.
- Asifa does not buy a chocolate bar, but buys a lollipop with her ten rupees from the school canteen.
- The minister decides not to pay unemployment benefits and allocates Rs. 100 million for building a new road.
- Abida buys a new sweater and has to give up the boots which she had seen in the shoe store last week.
- A catering company buys a new delivery van so it cannot hire new workers.
- A family has to give up a beach holiday and spends that money to fix the broken roof.
- A country fears an attack from its neighboring country, so it is decided to spend the sum of money allocated for building more schools to buy more weapons.

Who is making the Choice? (Business, Government, or Individual)	What they Choose?	The Opportunity Cost (What they could have had)

3. Answer the Following Questions

- Define the term 'Opportunity Cost'.
- Explain how all economic decisions have an opportunity.
- How do governments face opportunity costs?

B. Find Out From Your Friends/Classmates

1. Give the following situations to different friends in your class, school or neighborhood and tell them to decide which choice they would make and why?

Situations:

- i. You have only Rs. 25 left from your pocket money. Your choices are to buy a candy bar or put the money in your money box as saving.
 - ii. You have 30 minutes before dinner. Your choices are to play cricket or watch TV.
 - iii. Your parents have money for one kind of lesson. Your choices are cricket coaching or swimming lessons.
 - iv. Your parents are giving you a birthday party. Your choices are to take your friends out for pizza or take them to a movie.
 - v. Your school is letting students choose new playground equipment. Your choices are slides or swings.
2. Note down their responses in your notebook using the table given below. Identify the opportunity cost for each situation.

Name of Student	The Choice Made	Why?	Opportunity cost
Situation (i)			
Situation (ii)			
Situation (iii)			
Situation (iv)			
Situation (v)			

END OF UNIT EXERCISE

A. Check Your Knowledge and Understanding

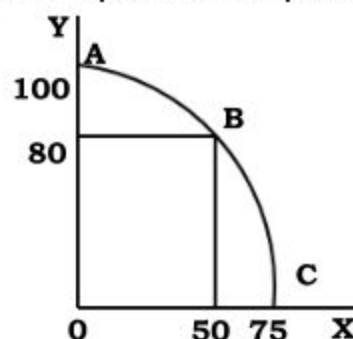
1. Draw Lines to Match the Terms given in Column A to Their Definitions given in Column B.

Column A	Column B
Needs	use goods and services to satisfy their personal needs and wants.
Wants	are the requirements which are necessary for maintaining life.
Opportunity cost	use resources to make goods and services.
Producers	Are the desires that are not essential for life, but they make life just a little more enjoyable.
Consumers	the next best alternative or option that must be given up when a choice

2. Answer the Following Questions

- i. What is the opportunity cost of moving from point B to point A in figure below:

- a) 20 units of X
- b) 50 units of X
- c) 25 units of X



- ii. If you have 12 hours available during the day, you could spend these hours in work or leisure. How would you spend the next five days? Show these five possible trade-offs (combinations of work and leisure) on a graph.

B. Use your Inquiry/Investigation Skills

1. Conduct a whole class survey to decide which end-of-year field trip to take. Ask each child to choose the place the class should visit:
- A local farm
 - The Museum
 - A nearby park

2. Also, ask them to list the costs and benefits of each decision and write three sentences explaining their choice.

C. Communicate With Others

1. Demonstrate how trade-offs are made by enacting the following role plays:
 - Role-play a school board meeting. Decide how your school board should spend Rs.500, 000 for your school. List various spending alternatives and make a decision, noting trade-off. (You don't have to spend all the money on one thing).
 - Role-play a family meeting called before a festival (Eid, Christmas or Diwali) to allocate a budget of Rs. 5,000. The family of four would like to buy new clothes, cook some special food, make or buy some special sweets and give gifts (Eidi, toys, etc.) to friends and relatives. (You don't have to spend all the money on one thing).

D. Cooperate With Others

1. With your mother's help:
 - Create the weekly grocery list for your family.
 - Work out the weekly cost (rent, food, bills).
 - Consider how much to put aside (save) for the unexpected.
 - Keep a money diary to track and analyze your spending.

E. Be Creative

1. Prepare a design for the cover of your money diary. The design should show what the diary is being used for.

F. Become Technologically Smart

1. Use the insert function to make a table for any one of the following. Make table activities given in the end of chapter exercises.

Teacher's Note: You may help students discuss various spending alternatives (clothes, special food and sweets, gifts, charity) in the role play and make a decision, noting trade-offs.

G. Taking an Action

1. Complete the table given below. What would you do in the given situations?

Sr. No	Situation	What will you do?	Why?/Name the Value
1.	You see a person going on the street. While taking out something from her purse, she accidentally drops her mobile phone.		
2.	You borrow a book from the library. The due date is after two days. (You are supposed to read from it taking care not to turn the pages or damage the book and then return it on the due date.)		
3.	Your friend is not well. He has been missing school for the past two weeks.		
4.	You are sitting in a bus. All the seats are taken when an old lady gets on the bus.		
5.	You used to play football, but have given it up because you are too busy with your studies and other activities like eating out with friends. Now, you have begun to notice that you are putting on weight and feeling tired all the time.		
6.	It is Ramdan, you are fasting. While you are walking on the street, a boy riding his bicycle hits you. Instead of apologizing, he starts arguing with you and tells you that you need to watch where you are going.		